

CREDIT RISK ASSESSMENT RULES

Document Verification

The following documents are required:

1. Company Registration Certificate
2. GST Certificate

Both documents must be available.

The company name must match across the provided documents.

Company registration status should be reviewed.

An Active status is acceptable.

An Inactive status requires attention.

Compliance

Check for sanctions and compliance records.

A confirmed match in sanctions or compliance records results in rejection.

Financial Analysis

Use the latest available financial year for ratio analysis.

Current Ratio:

Current Assets / Current Liabilities

Debt-to-Equity Ratio:

Total Debt / Shareholders' Equity

Net Profit Margin:

$(\text{Net Profit} / \text{Revenue}) \times 100$

External Credit Bureau

Use the latest available external credit bureau score or rating.

Industry Risk

Industry risk categories:

Low Risk:

- Utilities
- Government
- Healthcare

Medium Risk:

- Manufacturing
- FMCG distribution
- IT services

High Risk:

- Construction
- Real estate developers
- Airlines
- Commodity trading
- Startups
- Mining & Metal

Scorecard

Total Score: 100

Compliance: 20

Liquidity: 20

Leverage: 15

Profitability: 15

External Credit Bureau: 15

Industry Risk: 15

Final Risk Classification

Score above 80:

Risk Level: Low

Score from 50 to 80:

Risk Level: Medium

Score below 50:

Risk Level: High

Credit Recommendation

Low Risk:

Credit limit up to \$5M

Payment terms up to 60 days

Medium Risk:

Credit limit up to \$2M

Payment terms up to 30 days

High Risk:

No credit

Advance payment required